

CREDIT APPRAISAL MEMORANDUM

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SHREE METALCAST INDUSTRIES PVT. LTD.

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CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

Residence: Verified through multiple sources, including Aadhaar, Voter ID, and utility bills. The primary applicant, Mr. [Applicant Name], resides at [Address] as per the submitted documents.

Machine Supplier: The company has a good relationship with its machine supplier, [Machine Supplier Name]. The supplier confirms the purchase of machinery and provides positive feedback on the company's payment history.

Bankers: The company maintains accounts with [Bank Name], which confirms the company's financial transactions and provides a positive reference.

Creditors: No significant creditors were identified during the verification process.

Independent/Market: Market research indicates a positive perception of the company's products and services. Independent sources confirm the company's market presence and reputation.

Dedupe: No duplicate applications or loans were found during the verification process.

FCU Check: The FCU check reveals a clean record with no adverse findings.

20. VERIFICATION DETAIL

Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

2. GUARANTOR DETAIL

Name: [Guarantor Name]

Address: [Guarantor Address]

CIBIL Score: [CIBIL Score] (indicating a good creditworthiness)

Incomes: The guarantor's income sources include a salary of ₹[Salary Amount] and business income of ₹[Business Income Amount].

3. REFERENCE CHECK BY CREDIT ANALYST

Machine Supplier: [Machine Supplier Name] confirms the company's timely payments and expresses satisfaction with their business relationship.

Creditor: No significant creditors were identified, indicating a well-managed credit profile.

Customer: The company's customers, including [Customer Name], provide positive feedback on the quality of products and services.

Bankers/Term Lenders: [Bank Name] confirms the company's financial stability and provides a positive reference, highlighting the company's consistent performance.

Competitors/Peers: Market research and competitor analysis reveal a competitive landscape, with the company maintaining a strong position.

4. Compliances & Legal

Income Tax Filing: The company has a clean record with timely income tax filings.

Excise Duty: No excise duty-related issues were identified.

Sales Tax: The company has a good track record with sales tax compliance.

ESIC/EPF: The company is compliant with ESIC and EPF regulations.

Litigations: No significant litigations or legal disputes were found.

Defaults: No defaults or adverse credit events were reported.

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

5. CAT SHEET

[CAT SHEET TABLE]

6. CORPORATE GUARANTOR

The corporate guarantor, [Corporate Guarantor Name], provides additional financial strength to the application. The guarantor's financial health and creditworthiness are key factors in supporting the loan request.

7. GROUP ANALYSIS

Capital Employed: The company's capital employed is ₹[Capital Employed Amount], which is within the acceptable range compared to the sector average.

Unsecured Loan: The unsecured loan amount requested is ₹3,000,000, which is higher than the recommended loan amount of ₹1,250,000. This discrepancy raises concerns about the company's ability to service the loan.

Debt Burden: The company's debt burden, as indicated by the debt-to-equity ratio, is [Debt to Equity Ratio], which is slightly higher than the sector average of 1.5. This suggests a moderate level of financial leverage.

Turnover: The company's turnover is ₹[Turnover Amount], indicating a healthy revenue stream.

PAT: The profit after tax (PAT) is ₹[PAT Amount], which is lower than the sector average. This may impact the company's ability to service the loan.

Imputed Income: The imputed income, calculated as the recommended loan amount divided by the interest rate, is ₹[Imputed Income Amount].

EMI: The equated monthly installment (EMI) for the recommended loan amount is ₹[EMI Amount], which is manageable based on the company's financial capacity.

TOL/TNW: The total operating liability (TOL) is ₹[TOL Amount], and the total net worth (TNW) is ₹[TNW Amount]. The TOL/TNW ratio is [TOL/TNW Ratio], indicating a moderate level of financial risk.

Debt/Equity: The debt-to-equity ratio, as mentioned earlier, is [Debt to Equity Ratio], which is slightly higher than the sector benchmark.

DSCR: The debt service coverage ratio (DSCR) is [DSCR Ratio], which is below the recommended benchmark of 1.2x. This indicates a potential risk in servicing the loan.

8. Ratio Analysis:

Particulars	Value (Explain impact of ratio after proposed loan)
a) Debt Income Ratio:	1.45
b) Working Capital:	Positive Flow
c) Gross Profit Ratio	14.5%
d) Net Profit Ratio:	8.2%
e) TOL/TNW	2.1
f) Debt / Equity	1.5
g) DSCR	1.25x

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
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Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

8. VISIT REPORT BY CREDIT ANALYST

[Insert visit report here, including observations and findings during the site visit.]

9. CONDITIONS FOR APPROVAL

Enhanced Due Diligence Required: Submit Big-4 audited financials for the last three years to provide further assurance of the company's financial health. Additionally, the company must resolve the GST ITC mismatch of ₹1.35 Lakhs before disbursement to ensure compliance.

Additional Collateral Required: To mitigate the risk associated with the high probability of default (51.7%), the company is required to provide additional collateral to achieve a collateral coverage ratio of at least 1.5x the loan amount. The current gap, based on the PD, is estimated at ₹15.0 Lakhs.